Patrick Industries PATK

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by RockMirror

			2026	2027
Price:	85.00	EPS	4.3	0
Shares Out. (in M):	32	P/E	20	0
Market Cap (in $M):	2,800	P/FCF	11	0
Net Debt (in $M):	1,600	EBIT	267	0
TEV (in $M):	4,400	TEV/EBIT	0	0

Description

Given there has been a pitch on PATK previously explaining the business, this is going to be a short focused write-up, where the biggest appealing factor is the current valuation vis-à-vis the quality of the business. I have deliberately limited this to elements that matter to the thesis rather than covering the company exhaustively so apologies if things feel missing – happy to answer in questions.

Short Thesis

Good track record of earnings growth & returns, even though largely driven by inorganic growth.

End markets are depressed but highly rate sensitive. However, a good characteristic of business model is ability to maintain a good level of profitability even at trough end market volumes. '26 operating margin guided to be flat while end market volumes down MSD-HSD%. '26 est. FCF suggests 9% yield.

Runway for growth (organic/inorganic) remains in addition to adjacent markets. Calculated returns on incremental capital (incremental earnings/incremental capital spent) are attractive as it is and further elevated by financial leverage for shareholders.

All stock merger of equal size with LCII is a risk but also an opportunity.

Details

Patrick Industries is a components provider for leisure vehicle markets such as Recreational Vehicles (RVs) 45%, Marine 15%, Powersports 10%, Manufactured Housing 17% & Industrial 13%. They make all kinds of aesthetic/functional products that go into the interior/exterior of the leisure vehicles & adjacent markets. History is remarkable (Book value per share CAGR of 25% over last 10 years) as the business has improved margins significantly while printing high teens revenue growth.

PATK was written up on VIC in June'24 and then recommended to exit in early 2026 – seems perfect in hindsight! Today's share price is 20% expensive than when the previous write up was published but it wouldn't be unreasonable to claim the end markets have all turned horrible in 2026. So, why bother with something that's more expensive while end market dynamics have suffered? I think the valuation in itself is a reasonable enough comfort factor. Would love for it to be cheaper but I think this is a relatively better known name in investor community than few years ago which may support a better valuation floor.

Quick note about the end markets – RVs, Marine, Powersports are all high ticket discretionary leisure goods which are rate sensitive (intuitive enough). I think current valuation doesn't require any major recovery in these end markets i.e. even if we grow LSD from current trough levels, it should be fine. Hence, I don't spend much time discussing the state of the end markets (where we are today relative to history) in detail – I have attached some charts in the appendix which should help for building understanding. All I'd point to is that right now, nobody believes in RV volumes recovering to pre-covid levels so expectations are very low. Camping activity is a big use case of RVs and annual camping data is holding up okay.

Interestingly, Marine never saw a big upturn during 2021-22 vs pre-covid like RVs did but still suffered a major decline in subsequent years.

Back to PATK

My write-up does not include too much details of foundational understanding since that is well covered in the previous write-up.

In my view, the best characteristics of this business are (i) the ability to maintain profitability even in periods of weak volumes. And when I say weak, it doesn't mean a single- or double-digit decline – RV volumes are expected to be down 50% in 2026 vs peak in 2021. Meanwhile, PATK's EBITDA margins will be compressed by just over 150 bps. PATK is not a sole standout here. LCII, which is a similar replica of PATK as well as has been announced to be acquired by PATK in an all stock merger, is expected to print margins which are 2x that of its 2023 trough (100-150 bps compression vs 2021) even though RV volumes of 2026 are expected to be down vs 2023. This is attributable to their variable cost model where they can re-engineer products, flex down temporary labor, consolidate facilities etc. It should be noted that their facilities are not too highly automated with fancy robotic stuff floating around which probably helps in adjusting cost base. (ii) ability to grow higher than end market volumes & ASPs as they gain content, either organic or inorganic. While PATK does not enough details to eke out organic content growth, LCII has been able to achieve LSD-MSD% organic content growth over time. PATK & LCII are the only two major companies out there.

PATK's track record on allocating capital for acquisitions is pretty good with attractive incremental returns. Note, PATK has not reported any M&A exp separately so the EBITDA sort of subsumes it. One would think a steady state EBITDA with no M&A charges in LTM base would be slightly higher.

	14-19	19-25	
Depreciation	81	347	A
Capex	108	394	B
Acquisitions	930	1,622	C
Growth capital	957	1,669	B+C-A
Incr. EBITDA	155	229	
Pre-tax Return	16%	14%	
RV Vol - Beg	357	406	
RV Vol - End	406	342	

I don't think you have to under-write a big improvement in end market volumes for an investment to work out. **Even if end markets grow LSD% volumes off current trough levels, PATK should be able to grow MSD% revenues from nominal pricing & some organic content growth.** The business model doesn't require huge capex for LSD organic growth so it is not unreasonable to think of an **IRR of MSD% earnings + the current HSD FCF yield**. An uptick in the end markets would be a good optionality. PATK's Investor day 2024 presentation showed TAM estimates for its end market, which would suggest long run way for M&A. I think management's track record on M&A has been good enough that one can look at that engine in an attractive way.

Addressing obvious questions/risks

"What if end markets suck even more?" Frankly, they could. There is no floor here; I don't think the concept of replacement demand holds up for these markets. People can defer purchases easily and for long. 2026 is going to be the 4th consecutive year of weak RV volumes and if you do an average of RV volumes from 2021-2026 (2 years of peak and 4 years of trough), the average is 80% of pre-covid average so the supposedly "extra" volumes of 2021-22 have been more than absorbed by the 2023-26 downturn. There is data on RV volumes from 1980s and it is highly cyclical. During GFC, volumes dropped similar in terms of peak-to-trough and took 10 years to recover to the prior peak.

"Debt" Current leverage is 2.8x Net debt/EBITDA (ex-lease) with Int exp of ~80 mn vs ~450 mn in EBITDA. Does sound a little scary for a business exposed to highly cyclical end markets. Major maturity is only in 2028 (convertible that's in the money) and that's worth one year of FCF so not a major issue.

However, let me offer some additonal perspective. Given where end market volumes are today, it is hard to suggest we see another big 20-30% drop off in volumes when you are already at weak levels basis historical cycles. Even if volumes decline another 5-10% and content growth is not enough to maintain flat revenues, I don't think margins should deteriorate in a major way – *History is a good enough barometer to believe this.* The business throws off significant free cash – using all of annual 250 mn FCF to pay down debt would take five years to pay it all so it doesn't sound great but not insignificant. Given their acquisitive strategy and their history of maintaining a high leverage, I don't think it should be a big concern. Besides, if somehow revenues do decline double digits, that should be a benefit to net working capital driving better cash flows than earnings.

"Ceiling to content per unit" I don't know but this is probably more of a 10 year issue rather than the next 2-4 year issue. But both companies have shown ability to expand into adjacent markets beyond RVs so that's something positive.

Merger with LCII

PATK and LCII have announced an all-stock merger a couple of months ago. This is going to be directly accretive to PATK's EPS as its stock trades meaningfully above LCII. Both companies have been acquisitive throughout its history but it has been more so of bolt-ons/tuck-ins rather than any transformational one. Hence, there are integration risks though both companies operating in the same geographic region might mitigate that.

I don't suppose the OEMs would be in favor of this so I don't know whether this is going to pass regulatory hurdles. I don't suppose Bob Martin of Thor is looking at this positively – it doesn't make intuitive sense, regardless of marketing BS the companies spit out.

The merger would improve the B/S as LCII currently carries less debt than PATK and if synergies flow through, that adds more debt capacity. Of course, the base will become larger and they'd have to find lot more businesses to keep the M&A engine going. I think they will likely go into adjacent markets where they are not present today.

One element of the merger which gets me excited is the aftermarket opportunity where PATK's presence is not big (MSD% of sales) and LCII has spent the last few years building up its aftermarket presence, now representing >20% of sales today vs LDD pre-covid. Worth noting that half of LCII's aftermarket business is automotive linked than leisure vehicles. Suffice it to say if aftermarket becomes a bigger mix of revenues, that will reduce the cyclicality of the business.

	LCII	PATK	Combined
All RVs			
Content Per RV	4,993	5,191	10,184
Thor COGS per unit	38,357	38,357	38,357
CPV - % of Thor COGS	13.0%	13.5%	26.6%
Est. Materials in Thor COGS	75%		
Adj. Thor COGS	28,768	28,768	28,768
CPV - % of Adj.	17.4%	18.0%	35.4%

	LCII	PATK	PF	PF w/ synergies	
Revenue	4,122	3,951	8,073	8,073	
Gross Profit	915	913			
Margin	22.2%	23.1%			
SGA	635	540			
EBITDA	398	446	844	994	
Margin	9.7%	11.3%	10.5%	12.3%	
Synergies				150	Disclosed
% of rev				1.9%	
EBIT	280	276	556	706	
Margin	6.8%	7.0%	6.9%	8.7%	
Int. exp	(36)	(75)	(110)	(110)	
PBT	244	201	446	596	
Tax	(64)	(48)	(112)	(149)	
PAT	180	154	334	446	
Tax rate	26.2%	23.7%	25.1%	25.1%	
o/s shares	24.9	34.6	66	66	
EPS	7.3	4.4	5.1	6.8	
PF vs PATK			14.7%	53.2%	

Summary

Overall, you have a business that has a proven track record of growth & returns, management that allocates capital in a good way, maintains decent profitability in declining topline at a time when end market demand absolutely sucks. Like I touched upon earlier, you don't have to under-write a big mean reversion in end market volumes for this to work given current valuation of ~12-13x cash EPS when end market volumes are likely below mid-cycle.

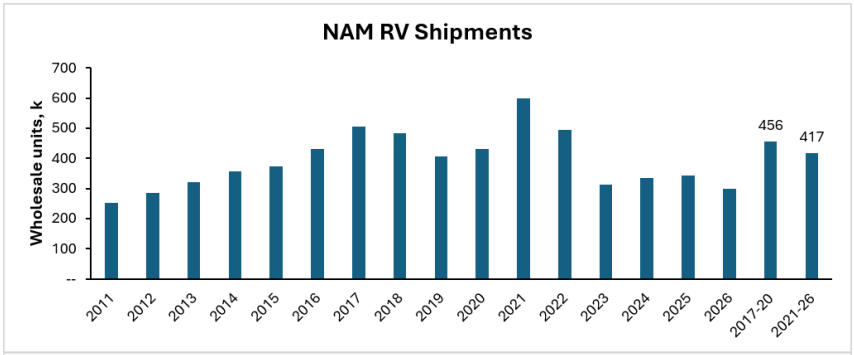
Misc pointers to note

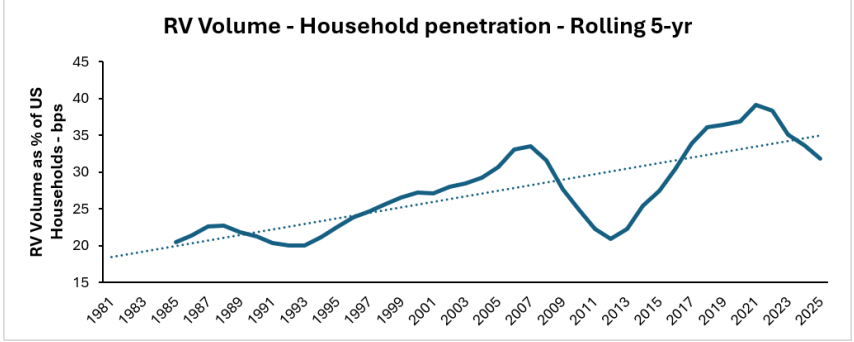
Even though PATK is highly acquisitive, it doesn't adjust for the amortization expense out of its EPS – Hence, looking up on CIQ (this is what I use, not sure about other platforms) would show you a 18x forward P/E. Backing out amortization would drop the P/E by 5x. SBC is less but that's worth 40 cents per share (or 0.5x P/E) as well – only pointing out because if you use standard CIQ forward multiples to compare companies then there's a mismatch based on how a company reports its EPS and most companies exclude SBC & amortization so it becomes apples-to-oranges in this particular case.

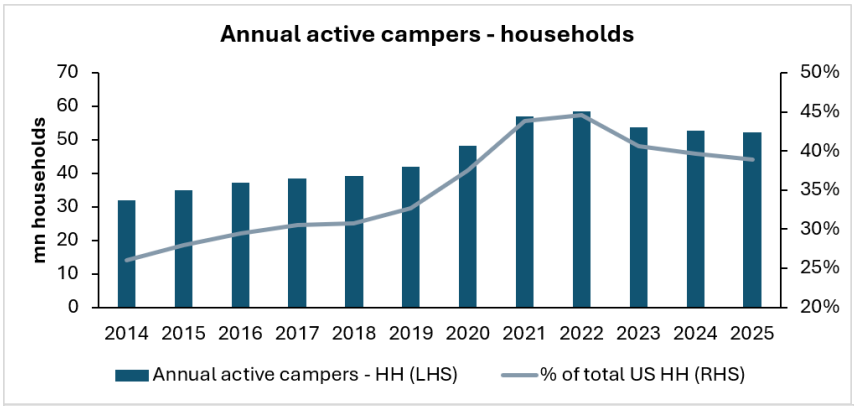
Management is seen in high regard so much so that PATK's image in the market improved during the downturn and the share price today is higher than what it peaked at during the 2021-22 boom even though the EPS is below – 2025 EPS ~50% below 2022 peak.

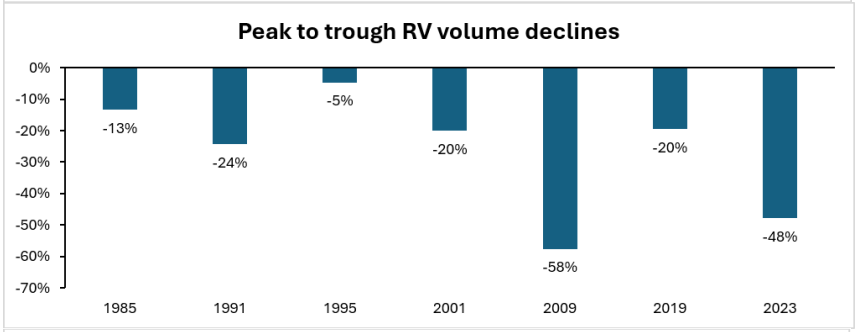
Based on years of following the industry and meeting with companies, I have come to know that PATK/LCII are the ones driving a fair amount of innovation for the RV OEMs and latter have very little resources in-house to develop products for their vehicles.

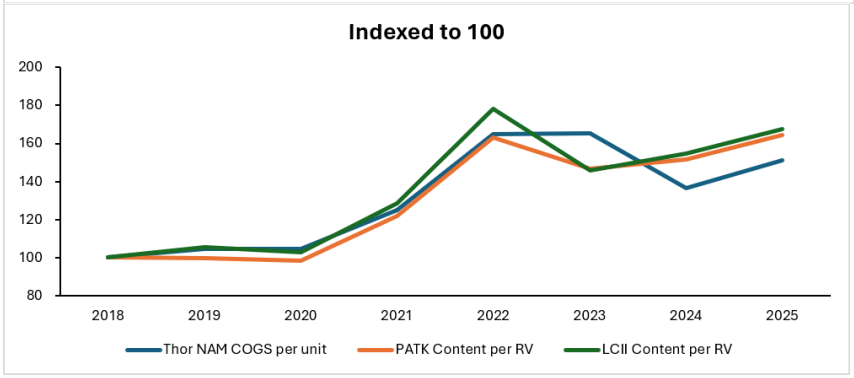
Appendix



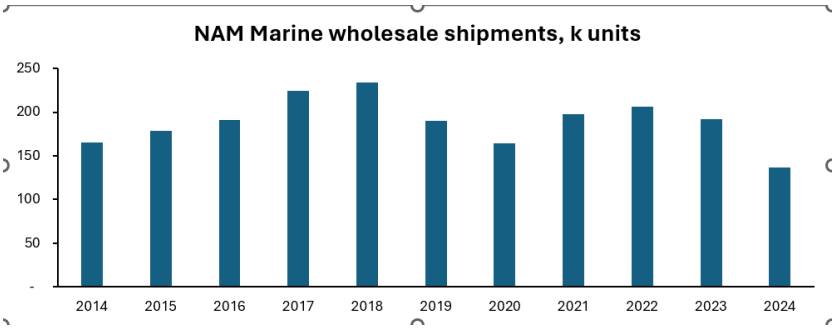


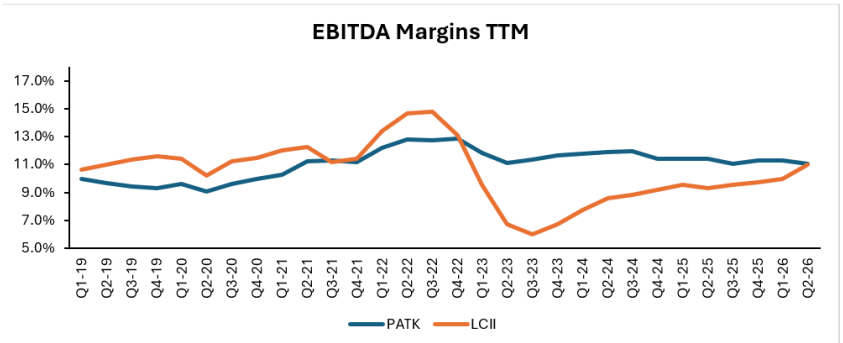


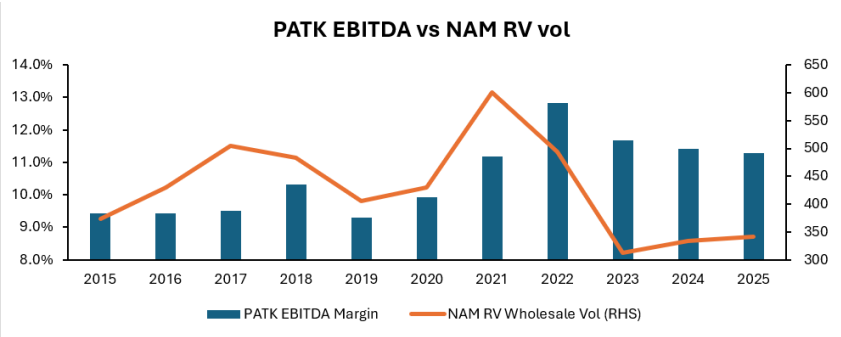


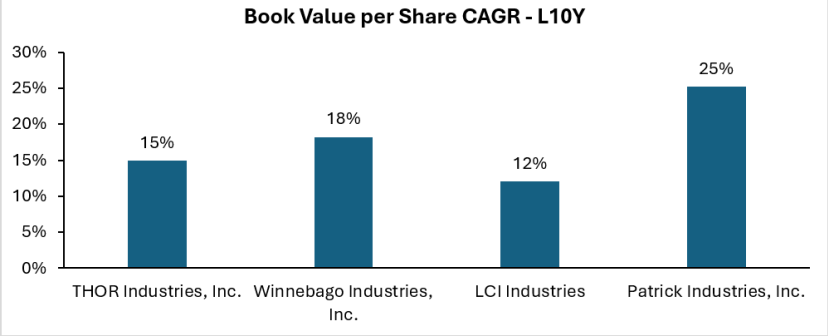


Above understates outgrowth of LCII/PATK content per RV vs Thor NAM as Thor acquired a luxury RV maker during this time period.









Above is distorted by how much dividend each company pays.

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Return calculation												
Invested capital build up												
PPE	57	68	85	118	177	274	369	478	514	531	586	608
Goodwill + Intangibles	81	175	274	472	665	676	852	1,192	1,349	1,289	1,600	1,583
NWC	74	99	112	169	278	261	346	592	710	543	552	599
Others	(9)	(10)	(20)	(37)	(87)	(79)	(109)	(169)	(191)	(122)	(120)	(136)
Total	**204**	**332**	**452**	**722**	**1,033**	**1,132**	**1,459**	**2,093**	**2,383**	**2,241**	**2,617**	**2,653**
Leases	-	-	-	-	-	*94*	*119*	*160*	*167*	*181*	*205*	*206*
Total ex Leases	**204**	**332**	**452**	**722**	**1,033**	**1,038**	**1,340**	**1,932**	**2,216**	**2,060**	**2,413**	**2,447**
Total ex lease/Intangibles	**123**	**157**	**177**	**250**	**368**	**362**	**488**	**740**	**866**	**771**	**813**	**864**
Rev	736	920	1,222	1,636	2,263	2,337	2,487	4,078	4,882	3,468	3,716	3,951
EBIT	51	70	91	122	178	154	173	352	496	260	258	276
margin	7.0%	7.6%	7.4%	7.5%	7.9%	6.6%	7.0%	8.6%	10.2%	7.5%	6.9%	7.0%
Rev/IC	4.3	3.4	3.1	2.8	2.6	2.2	1.9	2.3	2.2	1.5	1.5	1.5
Pre-tax Returns												
Invested capital	30.2%	26.1%	23.2%	20.8%	20.3%	14.3%	13.4%	19.8%	22.2%	11.3%	10.6%	10.5%
Invested capital ex leases	30.2%	26.1%	23.2%	20.8%	20.3%	14.9%	14.6%	21.5%	23.9%	12.2%	11.5%	11.4%
Invested capital ex leases/intangibles	47.3%	50.0%	54.4%	57.0%	57.7%	42.3%	40.8%	57.3%	61.8%	31.8%	32.6%	32.9%

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Catalyst

Rate cuts - wishful thinking?

Continued execution of content growth, margin stability.

Successful closure of LCII merger & realization of disclosed synergies.

Messages

No messages